

Business Context

DRS bank is facing challenging times. Their NPAs (Non-Performing Assets) have been on a rise recently and a large part of these are due to the loans given to individual customers(borrowers). The Chief Risk Officer of the bank decides to put in a scientifically robust framework for approval of loans to individual customers to minimize the risk of loans converting into NPAs and initiates a project for the data science team at the bank. You, as a senior member of the team, are assigned this project.

Objective

The data-set aims to answer the following key questions:

- To identify the criteria to approve loans for an individual customer such that the likelihood of the loan delinquency is minimized?
- What are the factors that drive the behavior of loan delinquency?

Data Dictionary

1. The data contains characteristics of the people
2. ID: Customer ID
3. isDelinquent : indicates whether the customer is delinquent or not (1 => Yes, 0 => No)
4. term: Loan term in months
5. gender: Gender of the borrower
6. age: Age of the borrower
7. purpose: Purpose of Loan
8. home_ownership: Status of borrower's home
9. FICO: FICO (i.e. the bureau score) of the borrower